PAYROLL SYSTEM

CONTROL DEFICIENCY	***RECOMMENDATION***	***TEST OF CONTROL***
There are no monitoring/supervision procedures relating to the clocking in and out of employees. This may lead to staff asking other colleagues to clock them in even when they are not present, leading to an increased payroll cost for the organization.	Clocking in and out should be monitored by a supervisor or CCTV cameras can be installed. The CCTV should be monitored by a staff with the relevant authority.	Observe whether a supervisor monitors the clocking in and out process. If CCTVs have been installed, inspect its footage to see if it actually works.
Payroll calculations performed by the system are not reviewed. This will lead to undetected and uncorrected errors in the payroll costs calculation. As a result, employees might be under or over paid, leading to either unsatisfied employees or unnecessarily high payroll costs for the company.	Payroll supervisor should periodically calculate the net pay and compare it to the system generated net pay to ensure the accuracy. The payroll supervisor should evidence his review with a signature and the transfers to employees should not be made until this task has been performed.	Inspect the evidence of review by the payroll supervisor. Review how any discrepancies were investigated and dealt with.
HR Department uses verbal authorisation to communicate with the	Any increase in the pay should be approved by the board members in a	Inquire with the payroll staff the procedure to

payroll department about any increases to the pay. This could lead to the payroll department or HR department giving extra pay to their friends. There is an increased chance of fraud.	written form.	increase the pay of an employee.
The factory supervisor is trusted with substantial cash sums in advance of the distribution of the wages to the night shift. There is an increased risk of theft of cash.	The night shift workers may be paid via bank transfer.	Inquire from one of the night shift workers the method of receiving their payment.
The factory supervisor keeps absent employees' wages over the weekend before handing back to payroll. there is an increased risk of theft and fraud.	The wages of absent employees should be returned to payroll department and they should be told to collect their wages from the payroll when they come to work next.	Inquire about the wage collection process from a worker who was absent on a weekend.
Staff holidays in the HR department lead to payroll information about new joiners not being communicated on a timely basis.	The HR Department should allocate duties among the staff in such a manner that there is no communication gap between HR and payroll.	Investigate whether any delays occurred in communicating information about new joiners and how it was dealt with.

There Is a risk that new joiners will not be paid timely and payroll costs will be misstated.		
The clerks update the standing data to reflect the increase in wages in each year. The apparent lack of authorisation to changes in standing data increases the risk of errors, leading to misstatement of wages and incorrect payment of wages. This also increases the risk of fraud, as the clerks have the ability to make unauthorised changes to standing data.	Clerks should not be allowed to make standing data changes. Changes should be made by a senior member of the payroll department. These changes should be reviewed by another responsible official to identify any errors or inconsistencies.	Review the log of changes made to the standing data for evidence that they were made by a senior member of the payroll department and that they have been reviewed by another responsible official.
Finance director reviews the total list of transfers and compares this to the total payable per the payroll records. There is an increased risk of fictitious employees being paid. As a result, fraudulent payments may be made.	The finance director should agree a sample of employees on the payroll records to the payment list and ensure only bona fide employees are paid. These checks should be evidenced by finance director's signature.	Inspect payment lists for evidence that the finance director has agreed a sample of payees to the payroll records, and vice versa.
Only payment of overtime	All overtime hours worked	Review a sample of

in excess of 30% of the standard hours are authorised by department heads. This increases the risk of employees claiming for overtime not worked, leading to additional payroll costs	must be authorised by the Relevant department head. The authorisation should be evidenced by signatures.	weekly overtime sheets for evidence of signature by the head of the department concerned.
The payroll clerks do not always check the overtime report before employees take time off in lieu of overtime worked. This increases the risk of employees taking unauthorised leave, leading to wages being paid for days which have not been worked.	Payroll clerks must agree holidays taken in lieu to the overtime report, and record that this has been done. Where differences arise, the payroll clerk should notify the relevant department head.	Review a sample of holidays taken in lieu of overtime to verify whether the payroll clerk has agreed the time taken in lieu to the overtime report.
Overtime worked report is emailed by the payroll department to department heads, who report only by exception if errors are identified. The authorization of overtime sheets by an alternative responsible	Departments should be required to respond to the payroll department regarding each overtime worked report, regardless of whether it is correct. No payment should be made until the report has been authorized by the	For a sample of overtime worked reports, inspect the responses received from each department head.

official while the department heads are on leave does not always occur. The fact that the department heads only report by exception can cause the payroll department to mistakenly assume that the overtime report is correct when it is not- leading to the payment of incorrect overtime. The lack of holiday cover for the authorisation of overtime can lead to overtime pay being delayed, resulting in the loss of employee goodwill.	relevant official	
Overtime reports which detail the amount of overtime worked are sent out quarterly by the payroll department to production supervisors for review. These reports are reviewed after the payments have been made which could	All overtime should be authorised by a responsible official prior to the payment being processed by the payroll department. This authorisation should be evidenced in writing.	Review whether the responsible official has signed the overtime reports.

result in unauthorised overtime or amounts being paid incorrectly and payroll cost increasing.		
Employees are entitled to a 30-minute paid break and do not need to clock out to access the dining area. Employees could be taking excessive breaks resulting in a decrease in productivity and increased payroll costs.	Employees should be allocated set break times and there should be a supervisor present to ensure that employees only take the breaks they are entitled to.	Observe whether a supervisor is present and is ensuring that only the allowed break is taken by the employees.
Although there is a HR department, appointments of temporary staff are made by factory production supervisors. The supervisor could appoint unsuitable employees and may not carry out all the required procedures for new joiners. This could result in these temporary employees not receiving the correct pay and relevant statutory deductions.	All appointment of staff, whether temporary or permanent, should only be made by the human resources department.	Inquire with the staff the procedure to appoint temporary staff.
Production supervisors determine the amount of	The bonus should be determined by a more	Inspect the written bonus records to

the discretionary bonus to be paid to employees. Production supervisors are not senior enough to determine this as they could pay extra bonuses to friends or family members.	senior individual, such as the production director, and this should be communicated in writing to the payroll department.	ensure that a responsible official is authorising the bonuses.
Holiday request forms are required to be completed and authorised by relevant line managers; however, this does not always occur. This could result in employees taking unauthorised leave, resulting in production difficulties if an insufficient number of employees are present. It could also lead to overpayment of wages.	Employees should be informed that they will not be able to take holiday without completion of a holiday request form, with authorisation from the line manager.	Inquire of an employee the method for applying for a holiday request and confirm that authorisation from line manager is required.
The senior payroll manager reviews the bank transfer listing prior to authorising the payments and also amends the payroll records for any changes required. There is a lack of segregation of duties as it is the payroll team which	Authorisation of the bank transfer listing should be undertaken by an individual outside the payroll department, such as the finance director.	Inquire of the staff as to who authorises the bank transfer listing prior to payments and inspect the signature on the list.

processes the amounts and the senior payroll manager who authorises the payments. The senior manager could fraudulently increase the amounts to be paid to certain employees, process this payment as well as amend the records.		
The bonus is input by a clerk into the payroll system. If this process is not reviewed, it could lead to errors or fraud resulting in incorrect bonus payments.	Once the clerk has input the bonus amounts, all entries should be double checked against the written confirmation from the production director by another member of the team to identify any amounts entered incorrectly.	Inquire from the staff who inputs the bonus into the payroll and also inquire whether another team member cross-checks it.
A payroll clerk distributes cash pay packets to employees without requesting proof of identity. Even if most employees are known to the clerk, there is a risk that without identity checks, wages could be paid to incorrect employees.	Payroll clerks should be informed that all cash wages can only be paid upon sight of photo ID proof and employee's clock card.	Observe how payroll clerks distribute the cash pay packets and whether or not they ask for photographic identity proof prior to handing the pay packet

PURCHASE AND PAYMENT SYSTEM

CONTROL DEFICIENCY	RECOMMENDATION	TEST OF CONTROL
The purchasing manager determines store inventory levels without consulting store manager or sales manager. Certain goods may be over-ordered leading to them being sold at lower prices. This may lead to the inventory being overvalued. Also, some inventory may not be ordered in enough quantity to meet the demand, leading to loss of sales and customer goodwill.	The purchasing manager should consult the store managers and a joint decision should be made on the initial inventory levels to be ordered.	Discuss with the store managers to confirm whether they have been consulted on inventory order levels.
Store managers are responsible for reordering through the purchases manager and it can take four weeks for goods to be received. The store manager may be late in ordering and the inventory may run out for a period up to four weeks, resulting in loss of revenue and customer goodwill.	When inventory falls below a predetermined level, the purchasing manager should be prompted to raise a purchase order. The system may generate an automatic reorder request which is emailed to the purchasing manager.	Use test data to process sufficient sales so that the inventory levels of a sample of items fall below the reorder level. check whether an automatic reorder request is emailed to the purchasing manager.

Stores cannot transfer goods between each other to meet demand. Customers are directed to try another stores/the website when an item is sold out. The system is inconvenient to the customer and hence there might be a loss of revenue and the perceived lack of customer service may damage the store's reputation.	An internal ordering system should be set up which allows for the transfer of goods between stores. Additionally, stores with extremely low inventories should be able to order it from stores with excess inventories to meet demand while goods are reordered	Process a sample of orders between different stories in order to determine whether the internal ordering system operates as documented.
Goods received are not checked against purchase orders. Goods which were not ordered may be received, leading to unnecessary purchases. Some goods ordered may not be received leading to insufficient inventory levels and loss of revenue.	A copy of order should be checked against GRNs. If all details are correct, the order should be marked completed and sent to the head office. Any incomplete items should be reviewed and investigated why these have not been completed.	Inspect a sample of GRNs to confirm that they have been checked back to the original order.
Purchase orders reviewed and authorised by the purchasing director are aggregated by region.	A country-by- country review of orders should be carried out by the purchasing director. Where appropriate,	Inspect the documentation relating to the review of orders to determine whether

The lack of detail does not allow the purchasing director to make an informed assessment of the buying policies and they may be unsuitable for specific markets within regions.	discussions should take place between the purchasing director and local purchasing managers before authorisation of orders.	they have been reviewed in sufficient detail.
Quality of goods is not checked by sales assistants, only quantity is checked. Poor quality goods may be accepted and may not be saleable Inventory may be overvalued	Goods should be checked on arrival for quantity and quality prior to acceptance.	Observe a sample of goods being received in order to determine whether goods are checked for both quality and quantity.
Purchase invoices and GRNs are manually matched, which is time consuming. The manual processing of high volume of documents is prone to human error. Invalid invoices may be processed as a result	A purchasing system should be adopted which allows for logging of GRNs against original invoices, and then electronic/automatic matching of invoices against GRNs. A regular review should be done to find unmatched items.	Process a sample of orders using test data. Trace the orders through the purchase system to verify that all appropriate checks and authorisations are requested by the system.
A purchase invoice is not put on the system until it is ready for authorisation by the purchasing director.	A list of invoices not posted should be prepared on a monthly basis and passed to the	Review the list of invoices not posted to ensure they are being prepared on a

The purchase ledger will not have all invoices posted, understating liabilities. Also, payables may be paid late.	purchasing director for authorisation and an accrual made to ensure completeness of payables.	monthly basis, and that they are authorised by the purchasing director.
When raising purchase orders, the clerks choose whichever supplier can dispatch the goods the fastest. This could result in ordering goods at much higher price or a lower quality than they would like, as the only factor considered was speed of delivery.	An approved supplier list should be compiled, this should take into account the price of goods, their quality and also the speed of delivery. All orders should only be placed with suppliers on the list.	Attempt to create an order from a supplier not listed in the approved list and confirm that the system rejects it.
Purchase orders are not sequentially numbered. The ordering teams will be unable to monitor if all orders are being fulfilled in a timely manner. This could result in stock outs.	All purchase orders should be sequentially numbered and on a regular basis a sequence check of unfulfilled orders should be performed.	Review whether sequence checks are performed and how any unfulfilled orders have been investigated.
Purchase orders below $5,000 are not authorised and are processed solely by an order clerk. This can lead to unnecessary purchases. In addition, clerk may place orders for	All purchase orders should be authorised by a responsible official. Authorised signatories should be established with varying levels of purchase authorisation.	Review the signatures of authorized signatories according to the amount of purchase as per the list.

personal goods up to the value of $5,000.		
Purchase invoices are input daily by the purchase ledger clerk and due to his experience, he does not utilize any application controls. Without application controls, there is a risk that the invoices could be input into the system with inaccuracies or they may be missed out entirely. This could lead to suppliers being paid incorrectly, leading to a loss of supplier goodwill.	The purchase ledger clerk should input the invoices in batches and apply application controls such as control totals, to ensure completeness and accuracy over the input of purchase invoices.	Observe the purchase ledger clerk while he is inputting the data to confirm whether he applies application controls or not.
The purchase day book Automatically updates with the purchase ledger but this ledger is manually posted to the general ledger. This increases the risk of errors occurring and hence payables balance could be misstated in the financial statements.	The purchase ledger should automatically update the general ledger. A responsible official should then confirm through purchase ledger control account reconciliations.	Review the update of general ledger and confirm that an official oversees the correct posting by evidencing the reconciliations with his signature.
Bank reconciliation is performed once in two	Bank account reconciliations should be	Inspect whether the reconciliations have

months. There is a risk that errors will not be identified on a timely basis. Also, the employees can commit fraud knowing that these accounts are not regularly reviewed.	performed on a monthly basis and a responsible official should review it and evidence their review.	been performed and reviewed by a responsible official by looking for their signature.
GRNs are only sent to the accounts department. Failing to send a copy to the ordering department could result in significant unfulfilled orders leading to loss of sales and stock-outs.	GRNs should be created in three parts and a copy should be sent to purchase department, who should agree this to the order and change the order status to complete.	Review the file of copy GRNs held by the purchase department, and review for evidence that these are matched to orders and flagged as complete.
GRNs are sent to the accounts department every two weeks. This could result in delays in suppliers being paid as the purchase invoices could not be agreed to a GRN and also recorded liabilities being understated. Additionally, any prompt payment discounts offered by suppliers may be missed due to delayed payments.	Copy of sequentially numbered GRNs should be sent daily to the accounts department who should also undertake a sequence check to ensure none are missing for processing.	Inquire of accounts clerk as to the frequency of when GRNs are received to assess if they are being sent promptly.

There is a policy of delaying payments to suppliers for as long as possible. There is a risk that company is missing out on early settlement discounts. This can also lead to loss of supplier goodwill as well as the risk that suppliers will refuse to supply goods to the company.	Cash flow forecasting should be undertaken to maximise bank balances. Suppliers should be paid in a systematic manner such that supplier goodwill is not lost.	Review the trade payables payment period to make sure, that the suppliers are paid within a reasonable period.
The finance director authorises the bank payment transfer list for suppliers; however, he only reviews the total amount of payments to be made. Without looking at the details and the supporting documents, there is a risk that suppliers could be paid an incorrect amount or that sums are paid to fictitious suppliers.	Finance director should review the whole list prior to authorising. He should agree the amounts being paid to the supporting documents. Also review the supplier names to identify any duplicate or unfamiliar names. This review should be evidenced by his signature.	Inspect whether the finance director has reviewed the list prior to signing by inquiring the staff whether the finance director asked for supporting documentation.

WAREHOUSE AND INVENTORY COUNT

CONTROL DEFICIENCY	***RECOMMENDATION***	***TEST OF CONTROL***
The count will be undertaken by teams of warehouse staff. There is lack of segregation of duties as those who have day-to-day responsibility for inventory are themselves checking it. There is an increased risk of fraud and error.	Members of alternative departments should undertake the counting rather than the warehouse staff.	Attend the year-end count and enquire of the counting teams which department they normally work in.
The inventory sheets contain quantities as per the inventory records. There is a risk that the counting teams may simply agree with the pre-printed quantities rather than counting the inventory correctly, resulting in significant errors in inventory.	Count sheets should be sequentially numbered and contain product codes and descriptions but not quantities.	Inspect a sample of counting sheets being used by the counting teams to verify that only inventory product codes and description are pre-printed on them.
There are 15 teams of counters, each team having 2 members of staff. There is no clear division of responsibilities within the team. Both members should	One member should count and the second member should also undertake a count and then record the inventory on the inventory sheets correctly.	Observe the counting teams to assess if they are counting together or if one counts and the other then

count together rather than checking each other's count.	Additionally, the member of staff supervising the count could undertake sample checks of inventory counted by each team.	double checks the quantities counted.
Inventory owned by third parties is also being counted by the teams, with adjustments being made by finance team to split these goods out later. There is a risk that these goods may not be correctly removed from the inventory count sheets, resulting in inventory being overstated.	All inventories belonging to third parties should be kept in one place and clearly marked that this has to be excluded from the count.	Enquire of the count supervisor where the third-party inventory is to be stored, confirm through inspection of the counting sheets that these areas are not included in any pre- printed forms.
High value inventory which is normally stored in a secure location will be accessible to all team members as they will be given the code. There is an increased risk of theft as any counting team member could subsequently access these goods.	Only senior members of the team should be allocated to count these goods and they should only be given the access code to enter the area. Once the goods have been counted, the access code should be changed.	Attempt to access the area where high value inventory is stored; this should not be possible without the access code.
Each bay of the warehouse is counted once only.	Once all inventories have been counted once, each	Observe the counting team

If inventory is only checked once, then counting errors may arise resulting in misstated inventory.	area should be recounted by a different team. Any differences on the first count should be promptly notified to the count supervisor and if necessary, a third count may be undertaken. If a full second count would be too time consuming for the company, then sample checks on the inventory counted should be undertaken by a different counting team.	undertake second counts of all areas; confirm that different teams undertake this process.
Once areas are counted, the teams are not marking the bays as completed. There is a risk that some areas may be counted twice or not counted at all.	All bays should be flagged as completed once inventory has been counted. At the end of the count, the count supervisor should confirm that all bays have been flagged.	Physically confirm that the completed bays have been flagged to indicate that the goods have been counted.
The inventory sheets are sequentially numbered and at the end of the count they are given to the count supervisor who confirm with each team that they have	After the count has finished, each team should return all their sequentially numbered sheets and the supervisor should check the sequence of all sheets at the end of	Review the sequence of the inventory sheets for any gaps in the sequence and obtain an

returned all sheets. Since no sequence check has been performed of the sheets, inventory records could be understated if sheets are missing.	the count.	explanation from the count supervisor.

CASH SYSTEM

Control Deficiency	Control Recommendation	Test of Control
Each branch maintains a petty cash float of, and at any point in time the receipts and funds present should equal the float. This could be as a result of sundry items being purchased without the relevant receipt or voucher being returned. There is also a possibility that the cash is being misused by staff members, or being spent on non- business-related items.	A petty cash log should be maintained so the purchase of sundry items is recorded in the log along with the sum borrowed, date and employee. On purchase of the items, the relevant employee should return the relevant receipt or voucher and any funds not spent. The log should be updated to confirm return of funds and receipts. On a weekly basis, the restaurant manager should reconcile the petty cash and if any receipts are missing, these should be followed up with the relevant employee. If it is cash which is missing, then this should be investigated further with the employees who made petty cash purchases during that period.	
To speed up the cash payment by customers, for each venue the tills have the same log on code and these codes are changed fortnightly. In the event of cash discrepancies arising in the tills, it would be difficult to ascertain which employees	Each employee should be provided with a unique log on code and this is required to be entered when using the tills. In order to facilitate the investigation of till differences, employees should be allocated to a specific till point for their shift. Any discrepancies	

may be responsible as there is no way of tracking who used which till. This could lead to cash being easily misused.	which arise should initially be double checked to ensure they are not arithmetical errors. If still present, the relevant employees who had access to the till can be identified and further investigations can be undertaken.	
The reconciliations of the tills to the daily sales readings are performed in total for all five tills at each venue rather than for each till. This means that when exceptions arise, it will be difficult to identify which till caused the difference. Therefore, employees may require further till training or may have undertaken fraudulent transactions	The reconciliations should be undertaken on an individual till by till basis rather than in aggregate and any discrepancies noted should be investigated immediately.	
The cashing up of tills along with the recording of any cash discrepancies is undertaken by just one individual. There is a fraud risk as the manager could remove some of the cash and then simply record that there was an	The cashing up process should be undertaken by two individuals together, ideally an assistant manager and the restaurant manager. One should count the cash and the other record it. Any exceptions to the till reading should be double checked to	

exception on the daily sales list. In addition, as there is no segregation of duties, the restaurant manager could, fraudulently or by error, record the total sales as per each till incorrectly leading to incorrect identification of discrepancies.	confirm that they are not simply arithmetical errors. If still present, the relevant employees who had access to the till can be identified and further investigations can be undertaken.	
Daily sales sheets are scanned and emailed to head office on a weekly basis. There is a possibility that some sales sheets could be misplaced by the restaurant manager. This will result in incomplete sales and cash receipts data being recorded into the accounting system.	Daily sales sheets for each venue should be sequentially numbered and remitted to head office on a daily basis. At head office, a sequence check should be undertaken on a regular basis to identify any missing sheets and any gaps should be investigated further. Once received, the cashier should post the sales and cash data for all six venues on a daily basis. Once processed, they should then be signed as posted by the cashier and filed away securely.	
Cash is stored in a safe at each venue and the restaurant manager stores the safe key in a drawer of their desk when not in use. Although cash is banked on a daily basis, there could still be a significant sum of cash onsite each day. There is a	The current key lock safe should be replaced with a safe with a digital code. Only authorised personnel should have the code which should be updated on a regular basis.	

risk of significant cash losses due to theft if access to the safe key is not carefully controlled.		
The cashier is responsible for several elements of the cash receipts system. She receives the daily sales sheets from restaurants, agrees that cash has cleared into the bank statements, updates the cash book and undertakes the bank reconciliations. There is a lack of segregation of duties and errors will not be identified on a timely basis.	These key roles should be split between different members of the finance team, with ideally the bank reconciliations being undertaken by another member of the team.	
The cashier is not checking that payments made by credit card have resulted in cash being received by Co. The credit card statements are not reviewed or reconciled; they are just filed away. There is a risk that receipts of cash by credit card may have been omitted and this would not be identified on a timely basis as the bank is only reconciled every two months. This may result in difficulties in resolving any discrepancies with the credit	The cashier should reconcile the credit card vouchers per restaurant to the monthly statement received from the card company. The daily amounts per the statement should be agreed to the bank statement to ensure that all funds have been received. This reconciliation should be reviewed by a senior official, such as the financial controller, who should evidence by signature that the review has been undertaken.	

card company		
The bank reconciliations are only carried out every two months. For a cash- based business, the bank reconciliation is a key control which reduces the risk of fraud and identifies errors. If it is not reconciled regularly enough, then this reduces its effectiveness as fraud and errors may not be identified on a timely basis.	The bank reconciliations should be performed on a monthly basis rather than every two months. The financial controller should continue to review each reconciliation and evidence her review by way of signature on the bank reconciliation.	
The finance director only views the total amount of payments to be made rather than the amounts to be paid to each supplier. Without looking at the detail of the payments list, as well as supporting documentation, there is a risk that suppliers could be being paid an incorrect amount, or that sums are being paid to fictitious suppliers. This will cause loss for the company.	The finance director should review the whole payments list prior to authorising. As part of this, he should agree the amounts to be paid to supporting documentation, as well as reviewing the supplier names to identify any duplicates or any unfamiliar names. He should evidence his review by signing the bank transfer list.	
The IA department only undertakes cash control visits to the 20 largest stores as they feel this is where most issues arise. However, Caterpillar Co	Caterpillar's IA department should have a rolling program of visits to all 45 stores. This program can have a bias to large and high-risk stores, but it should	

has 45 stores in total which means over half of the stores are not being checked. This increases the likelihood of control errors, as these stores may not comply with company procedures. As it is a cash business heightens the chance of frauds occurring	ensure that all stores are visited on a cyclical basis	
All store employees are able to use each till and none have an individual log on code when using the tills. Allowing all employees access to the till points increases the risk of fraud and error arising. Also, in the event of cash discrepancies arising in the tills, it would be difficult to ascertain which employees may be responsible as there is no way of tracking who used which till.	Only employees for whom criminal record/credit checks have been undertaken should be able to use the tills to take customer payments. Each employee should have a designated till and a log on code, which is required for each payment transaction	
Where employees' friends or family members purchase clothes in store, the employee is able to serve them at the till point. Employee could forget to put the goods to put through to the till while retaining the	Co. should implicate a policy whereby employees are unable to serve friends or family members at the till points. They should request a manager or supervisor to put these goods through the till.	

cash from the family member. They could also give the goods away for free or undercharge for goods sold, thereby granting unauthorized discounts	Company should carry out regular inventory counts to identify the level of inventory.	
The daily reading of sales and reconciliations to the tills is performed in aggregate rather than for each till. There will be difficulty in identifying which till caused the difference or which employee have undertaken fraud transactions.	The reconciliations should be undertaken on an individual till by till basis rather than in aggregate.	
The cashing up of tills along with the recording of any cash discrepancies is undertaken by just one individual. The store manager could remove some of the cash and then simply record an exception.	The cashing up process should be undertaken by two individuals together. One should count the cash and the other record it. Double check any difference to the till to confirm there are not arithmetical errors.	
The cash is kept at the store overnight in a small safe. it is likely that the cash sales for one day would be a significant sum. This cash is at risk of being stolen overnight.	The cash should be collected daily by the security company as soon as the store closes in the evening. Hence reducing the risk of cash being stolen overnight.	

If a store needs change, a junior sales clerk is sent to the bank by a till operator to change it into smaller denominations. Cash may be misplaced or stolen on the way to the bank or collusion between the junior clerk and till operator and the till operator may forget to record the transaction. No confirmation is carried out of how much cash is returned.	Head office should stipulate a float amount per till and how the note denominations should be comprised. The store manager should adhere to this policy while assigning cash float. Authorize a member of staff to obtain cash from the bank and transaction should be completely recorded.	
One clerk is responsible for several elements of the cash receipts system. There is a lack of segregation of duties Errors will not be identified on a timely basis. This will also lead to increase in the risk of fraud.	These key roles should be split between a few individuals, with ideally the bank reconciliations being undertaken by another member of the finance team	
The bank reconciliations are only reviewed by the financial controller if there are any unreconciled amounts. The bank reconciliation could still contain significant errors as there could be compensating errors which cancel each other out. bank reconciliation is a key	The bank reconciliations should be reviewed by the financial controller on a monthly basis, even if there are no exceptions, and he should evidence his review by way of signature on the bank reconciliation.	

control which reduces the risk of fraud. If it is not reviewed, then this reduces its effectiveness.		

STRENGHTS AND CONTROL

STRENGHTS	***CONTROL***
The purchasing department researches the lowest price from suppliers before raising a purchase order. This helps with economy of the process, attaining resources at the lowest cost.	In order to also ensure that goods are of required quantity, an approved list of suppliers could be made, with purchases only being permitted from those suppliers on the list.
Overtime rates have been increased and this has incentivized the staff to fill staffing gaps. As a result, company has saved money by decreasing the level of expensive temporary staff.	Increased hours will affect overall efficiency given that same staff is carrying out extended shifts. Ideally, more permanent staff should be recruited to carry out overtime.

Additionally, permanent staff may be more effective as they are familiar with the company's systems and the way work is done.	
Card clocking is in place to ensure employees are only paid for hours worked. It also provides a means for recording hours worked which is valuable management information.	System may allow payable overtime to accumulate simply because an employee clock out late. The system should be set to automatically clock out after the normal number of shift hours. Staff can clock back in case they work overtime in an authorised shift.
A capital expenditure committee of senior managers has been set up to authorize significant capital expenditure items. This will help prevent cash outflows for unnecessary assets, or assets not budgeted for.	An authorisation policy can be drawn up setting out the different levels of authorisation needed depending upon the amount of expenditure for capital items.
There is an internal audit department. It will advise on value for money and monitor the internal control environment.	The remit of internal audit could be extended to advising on implementation.
Orders are authorised by a purchasing director. This will help to ensure that only	Orders below a certain monetary level should be authorised by the lower level of management. Orders over the specified monetary

necessary expenditure is incurred.	value should be authorised by purchase director.
New equipment purchased has improved the effectiveness and efficiency of operations.	The company should look at providing targeted training for existing staff and look to recruit staff that have the appropriate skills.
Pay packets are prepared by two members of staff with one preparing and one checking the pay packets as this is evidenced by each staff member signing the weekly listing. This ensures there is segregation of duties which prevents fraud and errors not being identified.	Observe the preparation of pay packets ensuring that two members of staff are involved and that pay packets are checked for accuracy.
The company has separate HR department which is responsible for setting up new employees. The segregation of duties between HR and payroll reduces the risk of fictitious employees being set up and paid.	Discuss with the members of payroll the process for setting up new joiners and for confirmation that the process is initiated by HR.
Pre-printed forms are completed by HR for all new employees and includes assignment of a unique employee number. Payroll is unable to set up new joiners without information from these forms.	Select a sample of edit reports for changes to payroll during the year; agree a sample of new employees added to payroll to the joiners forms.

This minimises the risk of incorrect wage and tax payments. In addition, as payroll is unable to set up new joiners without forms and employee number, it reduces the risk of fictitious employees being set up by payroll.	
Quarterly production bonus is input by a clerk into the payroll system, each entry is checked by a senior clerk for input errors prior to processing, and they evidence their review via signature. This reduces the risk of input errors resulting in over/underpayment of the bonus to employees.	Obtain listings of quarterly bonus and review for evidence of signature by the senior clerk who checks for input errors.
Production employees are issued clock cards and are required to swipe their cards at the beginning and end of their shift, this process is supervised by security staff 24 hours a day. This ensures that genuine employees are only paid for the work actually done, and reduces the risk of	Confirm the security team is supervising the process and following up discrepancies through discussions with the security staff.

employees being paid but not completing their shift.	
The clock card information identifies the employee number and links into the hours worked report produced by the payroll system. As the hours worked are automatically transferred into the payroll system, this reduces the risk of input errors in entering hours to be paid in calculating payroll, ensuring that employees are paid the correct amount.	Input dummy clock card information and verify that this has been updated into the payroll system.
On a quarterly basis, exception reports of changes to payroll standing data are produced and reviewed by the payroll director. This ensures that any unauthorized amendments to standing data are identified and resolved on a timely basis.	Select a sample of quarterly exception reports and review for evidence of review and follow up of any unexpected changes by the payroll director.
For production employees paid in cash, cash is received weekly from the bank by a security company. It is likely that the sum of money required would be considerable. It is important that cash is adequately safeguarded to reduce the risk of	Review a sample of invoices from the security company for delivery of cash.

misappropriation.	

Control deficiencies (overall)	Control recommendations
Physical verification of assets within the non-current asset register has not been undertaken for some time. A current program has started but is only 15% complete, due to staff shortages. If non-current assets are not physically verified on a regular basis, there is an increased risk of assets being misappropriated or misplaced as there is no check that the assets still exist in their correct location.	Additional resources should be devoted to complete the physical verification of all assets within the register. Following this full review, on a monthly basis for a sample of assets at the sites should be agreed back to the register to confirm existence.
There have been significant staff	Senior management should consider

shortages in IA department. Several members of IA are also new to the company. If IA team has staff shortages or lack of experience, this reduces the effectiveness of monitoring the effective operation of controls.	recruiting additional employees to join IA department. Also, employees with experience in the relevant field should be appointed.
As HR Department has been busy, payroll department has set up new joiners. There is a lack of segregation of duties between HR department and payroll department. There is an increased risk of ghost employees being set up.	A review must be undertaken of all new joiners set up by payroll to ensure that all new employees are bona fide.
New customers undergo a credit check, after which a credit limit is proposed by the sales staff and approved by the sales director, these limits are not reviewed after this. There is a risk that credit limits may be too high leading to irrecoverable debts or too low leading to a loss of sales.	Credit limits should continue to be approved by the sales director; however, on a regular basis the sales director should review these limits based on order history and payment record.
The wage rate has been increased by the HR director and notified to the payroll supervisor by email.	All increases of pay should be proposed by the HR department and then formally approved by the board of directors.

As payroll can be a significant expense, any decision to increase this should be made by the board as a whole and not just by the HR director.	
High value inventory is stored in a secure location across all 9 warehouses and access code is a 4-digit code, which is common to all sites. As the code is same across all sites, this significantly increases the risk of fraud. A considerable number of people will be aware of the codes and could access inventory at any 9 sites.	Access codes for all the sites should be changed. Each site should have a unique code, known to a small number of senior warehouse employees. These codes should be changed on a regular basis.
Monthly perpetual inventory counts are supposed to be undertaken at each of the 9 warehouses, but some of these are outstanding. In order to rely on inventory records for decision making and year-end financial statements, all lines of inventory must be counted at least once a year, with high value or high turnover items being counted more regularly.	The schedule of perpetual inventory counts should be reviewed for omissions. Any lines which have been missed out, should be included in the remaining counts.

If the counts are outstanding, some goods may not be counted and the inventory records may be incorrect.	
Bank reconciliations are only reviewed by the financial controller if sum of reconciling items is significant. The bank reconciliation could contain significant errors, but a low overall number of reconciling items, as there could be compensating errors which cancel each other out. Bank reconciliations are a key control which reduces the risk of fraud. If they are not reviewed, then this reduces its effectiveness and also results in a lack of assurance that bank reconciliations are being carried out at all or on a timely basis.	Bank reconciliations should be reviewed by the financial controller on a monthly basis, even if the reconciling items are not significant, and he should evidence his review by way of signature on the bank reconciliation.
Invoices are authorised by finance director but payment is only made 75 days after the receipt of the invoice. There is a risk that the company is losing early settlement discounts. Also, this policy can lead to loss of supplier goodwill and they might	The policy of making payment after 75 days should be reviewed. Consideration should be given to earlier payment if the settlement discounts are sufficient. If not, invoices should be paid in accordance with the supplier's payment terms.

refuse to supply goods in the future.	